

# PERSONALIZED WEALTH STRATEGY

Erin Mann | October 2025

## Executive Summary

A comprehensive 12 month plan to maximize W-2 tax savings, implement a lean audit-ready LLC for legitimate business deductions, and automate wealth building via Bitcoin with a focused, low-time-commitment income sleeve. The strategy prioritizes documentation, cash-flow relief, and high-probability deductions over complexity.

|                                                                                                                        |                 |                                                                                                                      |                 |
|------------------------------------------------------------------------------------------------------------------------|-----------------|----------------------------------------------------------------------------------------------------------------------|-----------------|
|  <b>Year One Value — Conservative</b> | <b>\$14,340</b> |  <b>Year One Value — Optimistic</b> | <b>\$30,730</b> |
|------------------------------------------------------------------------------------------------------------------------|-----------------|----------------------------------------------------------------------------------------------------------------------|-----------------|

Represents estimated cash in pocket through tax savings, reimbursements, and light business profits in Year One.

## 30 Day Launch Checklist

### Week 1: Foundation

- Entity setup: single-member LLC with separate business checking.
- Accounting: connect QuickBooks/Zoho; create STR/consulting-friendly chart of accounts.
- W-4 update & 401(k) shift: right-size withholding; tilt \$6k–\$8k to pre-tax.

### Week 2: Documentation and Policies

- Written policies: Accountable Plan; Expense Policy with *de-minimis safe harbor* at \$2,500/invoice; Augusta calendar with 12–14 pre-scheduled meetings.
- Home office: measure, photograph, and complete simplified vs actual method analysis.

### Week 3–4: Credit and Systems

- Monthly reimbursement workflow: compile receipt pack PDF; ACH from LLC → personal.
- Cash flow tune-up: renegotiate insurance/mobile/internet; set utilization alerts.
- Investment setup: open River or Strike; schedule BTC DCA after EF hits \$3,000.

# Tax Optimization Playbook

## 1. W-2 timing & pre-tax shift

Adjust W-4 to target a small refund and move \$6k–\$8k from Roth to traditional 401(k) to improve monthly cash and lower current taxes.

**Estimated value:** \$2,200 – \$4,000

## 2. Accountable Plan reimbursements

Tax-free reimbursements (from LLC → personal) for business share of phone, internet, mileage, and home-office. Use a monthly memo + receipt pack and ACH.

**Estimated value:** \$1,200 – \$2,400

## 3. Home office deduction

Simplified: \$5/sq-ft up to 300 sq-ft (max \$1,500). Actual: allocate mortgage interest/HOA, utilities, insurance, repairs, and depreciation by business-use %. Example: 1,200 sq-ft home, 120 sq-ft office (10%) and \$18,600 costs → ~\$1,860 before depreciation; with depreciation ~\$2,260.

**Estimated value:** \$1,500 (simplified) or \$1,800 – \$2,500 (actual)

## 4. Augusta Rule (12–14 days)

Pre-calendar meetings; keep agendas, minutes, FMV comps (Boston day-space \$200–\$300/day), invoice, and LLC payment proofs.

**Estimated value:** \$2,800 – \$4,200

## 5. Startup & organizational costs — Sec. 195/248

Deduct up to \$5,000 startup and \$5,000 organizational costs in Year 1 (phase-outs apply); amortize remainder.

**Estimated value:** \$750 – \$1,250

## 6. Tangible property optimization

De-minimis safe harbor: expense ≤ \$2,500/invoice; 12-month rule: deduct eligible prepaids that don't extend beyond the next tax year.

**Estimated value:** \$500 – \$1,000

## 7. Vehicle & travel

Use mileage method; deduct transport/lodging and 50% meals when primary purpose is business. Keep contemporaneous logs.

**Estimated value:** \$300 – \$800

## 8. Schedule C deductions

Professional development, software/subscriptions, marketing/website, office supplies (≤

\$2,500/item).

**Estimated value:** \$1,000 – \$4,600

**9. QBI (199A) — if profitable**

If the LLC is profitable and below phase-outs, claim up to a 20% deduction on qualified business income.

**Estimated value:** \$300 – \$800

**10. Retirement on LLC profit**

After capturing any W-2 match, consider a Solo 401(k) employer contribution or SEP-IRA on LLC profit to shelter taxes.

**Estimated value:** \$400 – \$1,200

## Investment Strategy and Portfolio Allocation

### Core Philosophy

Combine the long-term, asymmetric upside of Bitcoin with selective positions in infrastructure that support AI and Bitcoin, while using a conservative income sleeve primarily inside retirement accounts.

### Primary Wealth Engine: Bitcoin

- Automate weekly/monthly purchases once EF  $\geq$  \$3,000 (start \$200–\$300/mo; raise by \$100/mo each stable quarter).
- Custody progression: brief exchange hold  $\rightarrow$  hardware wallet at \$5k–\$25k  $\rightarrow$  2-of-3 multisig over \$25k with geographic key separation.

### Growth Accelerators: AI & Bitcoin Infrastructure

- IREN allocation 1–3% of investable assets; DCA over ~2 months.
- Rationale: leverage to Bitcoin network + power-dense AI data-center demand.

### Income Generation (Retirement Preferred)

- **STRC (steadier):** variable-rate preferred with dividend-style distributions and priority over common.
- **MSTY / IMST (higher, variable):** options-income ETFs on MSTR; larger distributions that vary with volatility; cap upside for current income.
- Size 5–10% of retirement balances; DCA over 3 months; reinvest until cash is needed.

### Rebalancing Strategy

- Quarterly review; rebalance when any sleeve deviates by  $>5\%$ .
- Keep Bitcoin as the core position regardless of short-term volatility.

# Year One Value Breakdown

| Tax and Documentation Strategies | Estimated Value            |
|----------------------------------|----------------------------|
| W-2 timing & pre-tax shift       | \$2,200 – \$4,000          |
| Accountable Plan reimbursements  | \$1,200 – \$2,400          |
| Home office deduction            | \$1,500 – \$2,500          |
| Augusta Rule (12–14 days)        | \$2,800 – \$4,200          |
| Startup & organizational costs   | \$750 – \$1,250            |
| De-minimis & 12-month rule       | \$500 – \$1,000            |
| Vehicle & travel                 | \$300 – \$800              |
| Schedule C deductions            | \$1,000 – \$4,600          |
| QBI (199A)                       | \$300 – \$800              |
| Retirement on LLC profit         | \$400 – \$1,200            |
| <b>Tax strategy subtotal</b>     | <b>\$11,450 – \$23,950</b> |

| Business Cash Flow             | Estimated Value          |
|--------------------------------|--------------------------|
| Monthly intensives (1/mo, net) | \$2,400 – \$4,800        |
| Digital product (10–20 sales)  | \$490 – \$1,980          |
| <b>Business subtotal</b>       | <b>\$2,890 – \$6,780</b> |

|                                                                                                                                |                 |                                                                                                                              |                 |
|--------------------------------------------------------------------------------------------------------------------------------|-----------------|------------------------------------------------------------------------------------------------------------------------------|-----------------|
|  <b>Total Year One Value — Conservative</b> | <b>\$14,340</b> |  <b>Total Year One Value — Optimistic</b> | <b>\$30,730</b> |
|--------------------------------------------------------------------------------------------------------------------------------|-----------------|------------------------------------------------------------------------------------------------------------------------------|-----------------|

## **Maximizing Your Returns**

- Choose the actual home-office method when it exceeds the simplified method.
- Complete 12–14 Augusta meetings with strong FMV documentation.
- Reimburse monthly via the Accountable Plan; keep receipt packs and ACH proofs.
- Schedule a mid-December projection with your CPA to optimize timing.

## **Key Success Factors**

- Meticulous documentation from Day 1.
- Consistent monthly execution of tax strategies.
- Strict time cap (3–5 hrs/week) with templates and automation.
- Quarterly KPI and tax review cadence.

## **Action Plan**

### **This Week**

- Open business checking; connect accounting; finalize email domain.
- Sign Accountable Plan; adopt Expense Policy; schedule first Augusta meeting.
- Complete home-office measurement and photos.

### **This Month**

- Stand up monthly reimbursement workflow (PDF pack + ACH).
- Negotiate two bills; set utilization alerts; seed EF toward \$3,000.
- Open River/Strike; schedule BTC DCA once EF threshold is met.

### **Ongoing Monthly**

- Process reimbursements; hold Augusta meetings; track mileage.
- Deliver one Monthly Intensive; progress digital product.
- Review KPIs; adjust as needed.

### **Quarterly Reviews**

- Withholding check, EF progress, investment review, documentation audit.
- Rebalance allocation when a sleeve deviates by >5%.

# **December Tax Optimization Checklist**

## **Two Weeks Before Year End**

- Project LLC profit and potential QBI.
- Decide on retirement contribution from business profit.
- List remaining eligible purchases (de-minimis/bonus-eligible).

## **Final Week Actions**

- Purchase remaining equipment and prepay eligible 12-month expenses.
- Process final Augusta meetings and reimbursements.
- Confirm documentation completeness.

## **Year End Documentation**

- Compile reimbursement packs and mileage logs.
- Organize Augusta agendas, minutes, invoices, and FMV comps.
- Prepare expense summaries for the CPA.

# **Compliance and Risk Management**

## **Required Registrations**

- Business registrations and annual reports as required by MA.
- Insurance policies (homeowners, liability); price umbrella policy.

## **Audit Ready Documentation**

- Separate business bank statements; detailed receipts; reimbursement memos.
- Meeting minutes and agendas; FMV comparables for Augusta.
- Mileage logs with business purpose.

## **Ongoing Compliance**

- Quarterly tax projections; monthly bookkeeping reconciliation.
- Annual registration renewals and insurance reviews.

# Professional Team

## Essential Partners

- CPA for tax planning and compliance
- Bookkeeper for monthly financial management
- Insurance agent for liability coverage
- Banker for business credit and accounts

## When to Engage

- CPA now and quarterly
- Bookkeeper from Month 2
- Insurance review this month
- Banking in Week 1

## Summary

This plan combines W-2 optimization, an audit-ready business layer, and disciplined Bitcoin accumulation to deliver strong Year One value while building long-term wealth.

### Your path to \$30,000+ in Year One

- Execute the 30 day launch checklist.
- Implement all tax strategies with documentation.
- Process reimbursements monthly without fail.
- Maintain strict time caps and automate wherever possible.
- Reinvest income sleeve distributions until cash is needed.
- Review quarterly with your advisory team to stay on track.

Prepared for Erin Mann — October 2025